

Disclosure Regarding Real Estate Agency Relationships

Disclosure Regarding Real Estate Agency Relationships — synthetic template modeled on CAR AD

Prepared for demonstration. **SYNTHETIC DEMO DOCUMENT** — fictional data for demonstration only. Not an official California Association of Realtors form.

Property address: 123 Main St, Pasadena, CA 91101

APN (Assessor's Parcel Number): 5842-018-024

Document date: 2026-09-15

Seller: Jane Seller

Related listing date: 2026-09-15

How agency works in a real estate transaction

When a licensee helps with a sale, the licensee acts as the agent of either the seller, the buyer, or both with written consent. The agency relationship determines whose interests the licensee must advocate. A licensee may also perform ministerial acts — delivering papers, scheduling, assembling forms — that do not themselves create an agency relationship. The election below is recorded by initials.

Role definitions

Role	What it means, in summary
Agent of seller	Licensee represents the seller's interests and owes confidentiality and loyalty to the seller.
Agent of buyer	Licensee represents the buyer's interests in the same duties, from the buyer's side.
Dual agent	Licensee represents both sides with written consent; duties to both are limited as the law provides.
Designated agency	A broker designates different licensees to advocate for each side within one brokerage.
Non-agent / facilitator	Licensee performs ministerial acts only and owes no representation duties.

Election of agency relationship

- ☒ Licensee is agent of SELLER
- ☐ Licensee is agent of BUYER
- ☐ Dual agency with written consent
- ☐ Designated agency within brokerage
- ☐ Non-agent facilitation only
- ☐ Transaction broker (where permitted)

Seller's initials: _____ Buyer's initials: _____ Date: _____

Summary of statutory provisions

The following points paraphrase the substance of California's agency disclosure statute for demonstration; the official form language controls in practice.

1. A licensee acts as the agent of the party who engages the licensee, unless a different relationship is established in writing. A licensee may not act as both agents in the same transaction without the informed written consent of both parties.
2. Agency duties — undivided loyalty, confidential treatment of the client's information, obedience to lawful instructions, reasonable care, and full disclosure — run for the duration of the agency. A licensee may not advance the licensee's own interest at the client's expense.
3. Compensation is a matter of agreement between client and brokerage. Earning or offering compensation does not by itself create an agency relationship, and the amount of compensation does not determine which party the licensee represents.
4. A licensee must disclose material facts the licensee knows about the property or the transaction that a party acting in good faith would usually want to know, even where the duty of confidentiality otherwise applies.
5. Either party may end the agency relationship by written notice, subject to any compensation already earned and to any agreement to the contrary.

Acknowledgment

I have received and read this disclosure, the licensee has explained the roles above, and my initials record the relationship elected on page 1.

Jane Seller

Seller

Date: 2026-09-15

Buyer

Date: _____

Demo Realty

Brokerage acknowledgment — Demo Realty DRE Lic. #01998765

Date: 2026-09-15